BrightCHAMPS USA: Q4 Growth & Expansion Strategy

EXECUTIVE STRATEGY MEMO & TECHNICAL RUNBOOK • FOUNDER'S OFFICE (NOV–DEC 2026)

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SUBJECT:	**USA Expansion: Scaling to 5,500 Qualified Leads @ $29.85 CPL via Geo-Marketing & Product-Tech**

1. Executive Summary & Growth Strategy Canvas

BrightCHAMPS has mandated an aggressive Q4 expansion in the United States to generate 5,500 qualified leads across November (2,500) and December (3,000) at a strict blended Cost Per Lead (CPL) of $30.00 USD ('at the right cost') while maintaining premium lead quality.

We recommend deploying a Dual-Pillar Engine: (1) Geo-Segmented Marketing targeting high-propensity STEM families via compliant Meta proxies, paired with a 10-15% broad/Advantage+ control arm, and (2) Product-Tech Automation with server-side Meta CAPI v21.0 monotonic values (P(Paid | Stage) x ARPU) optimized on calendar bookings ('Schedule'), paired with dynamic intake that locks demos within <=48 hours.

[EXECUTIVE SCORECARD & IMMEDIATE ASK]

CORE SINGLE-SOURCE-OF-TRUTH SCORECARD:

- Qualified Leads: 5,500 (Nov: 2,500 | Dec: 3,000) | Blended CPL: $29.85 USD (Spend: $164,175 vs $165k budget ceiling)
- Funnel Throughput: 3,723 Demos Booked (67.7%) -> 2,643 Attended (71.0% show rate) -> 473 Paid Enrollments (17.9% close)
- Cost Per Attended Demo (North Star KPI): $62.12 USD ($164,175 / 2,643 attended demos)
- Lead-to-Paid Conversion: 8.60% (deliberately sitting ~10% below Round 1 US actual of 9.5%)
- Net Booked Revenue: $367,550.00 USD | Revenue Less Media Spend: $203,375.00 USD | Blended CAC: $347.09
- Contribution Margin (at assumed 55.0% GM): $37,977.50 USD (10.3% margin before closers, payment fees, refunds, creative)
- First-Order Media ROAS: 2.24x (Break-Even ROAS: 1.82x) | First-Order GM LTV/CAC: 1.23x ($777.06 x 55% / $347.09)
- Cash Timing (within 30d of lead): $275,662.50 USD (75% upfront liquidity; Dec paid leads trail into Jan)

TOP 2 RISKS: (1) BFCM Ad Auction Inflation (mitigated by front-loaded Nov 1-18 pacing, 50% Thanksgiving spend pause & $42 bid caps) and (2) Weekend/Peak Demo Capacity (mitigated by 16-mentor pod + weekend daytime blocks & 6 on-call flex mentors).

THE ASK: Leadership approval of $164,175 media plan, 16 dedicated US mentors + flex pool, and $150 holiday voucher A/B test.

2. Qualified Lead Definition & Raw-to-Qualified Bridge

Because SMS OTP phone verification and laptop hardware access gates filter out unqualified leads after media is paid for, CPL on qualified leads is naturally higher than CPL on raw form fills. A Qualified Lead is defined as: (1) OTP-verified US mobile number, (2) Valid deliverable parent email, and (3) Self-reported laptop/desktop computer access for the trial class.

Qualification Pass Rate	Raw Leads Needed	Target Qualified Leads	Max Allowable Raw CPL	Qualified CPL Ceiling
90.0% Pass Rate	6,111 Raw Leads	5,500 Qualified Leads	$26.87 Raw CPL	$29.85 Qualified CPL
80.0% Pass Rate (Base Model)	**6,875 Raw Leads**	**5,500 Qualified Leads**	**$23.88 Raw CPL**	**$29.85 Qualified CPL**
70.0% Pass Rate	7,857 Raw Leads	5,500 Qualified Leads	$20.90 Raw CPL	$29.85 Qualified CPL

Industry Benchmarks: Public US education lead CPL on Meta ranges from $22.83 (US average, Superads) to $34.85 (North America high, Focus Digital). Lead forms cost $34.10 vs Instant Experience $49.70. Our required raw CPL of $23.88 at an 80% pass rate aligns with benchmark averages and is the first metric validated during Days 1-3.

3. Pillar 1: Compliant Meta Targeting & Mutually Exclusive Geos

Compliant Targeting Mechanisms & Broad Control Arm

Meta has removed ethnicity and race detailed-targeting options, and ad delivery is increasingly algorithmic. Direct ethnic targeting is non-compliant and legally risky. We reach Indian-American and tech families through 6 compliant operational mechanisms:

1. Value-Based Lookalikes: Seeded from paying US customers, organically skewing toward the diaspora based on behavioral signals.
2. Zip-Code Geo Clusters: Top school districts (Fremont 94539, Sunnyvale 94087, Frisco 75034, Edison 08820, Bellevue 98052, Alpharetta 30005, Cary 27519).
3. Academic Program Proxies: Parents indexing on Kumon, Russian School of Math (RSM), Mathnasium, Singapore Math, USACO, and FIRST Lego

League.
4. Cultural & Academic Creative Cues: Real Python, AI literacy, and college resume building vs passive Roblox gaming.
5. Community Channels: Local temples, cultural associations, and weekend Indian cultural/language schools.
6. Parent Referral Loop: In Round 1, US referral leads converted at 11.9% lead-to-paid vs 9.7% for Meta (directional signal from 101 referral leads).
• Broad / Advantage+ Control Arm: 10-15% of budget allocated without geo/interest constraints to test whether geo tiers beat the algorithm on Cost Per Attended Demo ($62.12 baseline).

Mutually Exclusive 3-Tier Geographic Matrix & Empirical Hypotheses

Note: Round 1 US data has no zip or income fields and all US rows share one timezone. Tier spreads (close 22/17/13%, ARPU $850/$750/$650) are testable hypotheses:

Cohort / Parameter	Leads	CPL ($)	Spend ($)	Sched Rate	Show Rate	Close Rate	Net Revenue
Tier 1: Tech & Diaspora Metros	1,650	$36.00	$59,400.00	72.0% (1,188)	76.0% (903)	22.0% (199)	$169,150.00
Tier 2: Affluent Suburban Corridors	2,475	$29.00	$71,775.00	68.0% (1,683)	71.0% (1,195)	17.0% (203)	$152,250.00
Tier 3: Inland & Heartland America	1,375	$24.00	$33,000.00	62.0% (852)	64.0% (545)	13.0% (71)	$46,150.00
RECONCILED TOTAL / BLENDED	**5,500**	**$29.85**	**$164,175.00**	**67.7% (3,723)**	**71.0% (2,643)**	**17.9% (473)**	**$367,550.00**

Q4 Seasonality & Pacing: November (2,500 leads @ $30.80 CPL = $77k) incorporates higher CPMs and a 50% spend pause Nov 24-27 (Thanksgiving). December (3,000 leads @ $29.06 CPL = $87,175) captures STEM holiday gifting and New Year 2027 headstart intent. CPL contingency rule: if weekly blended CPL > $33, shift budget to Tier 2/3 and referral loop before cutting volume.

Tier 3 Contribution Trade-Off & Reallocation Lever: Tier 3 is contribution-negative on our model (1.40x ROAS vs 1.82x break-even, -$7.6k contribution loss at 55% GM); it is in the portfolio specifically to hold the $30 blended CPL ceiling ($29.85 blended). Dropping Tier 3 entirely lifts blended CPL across Tiers 1 and 2 to $31.80 ($131,175 spend / 4,125 leads), but immediately increases total contribution by +$7.6k (Tier 1 & 2 blended ROAS is 2.45x). Trimming Tier 3 represents our primary operational reallocation lever if contribution profit takes precedence over the strict $30 CPL ceiling.

4. Pillar 2: Product-Tech Data Pipeline & Intake Funnel

Server-Side Meta CAPI (Graph API v21.0) & Monotonic Expected Values

Dispatched via real-time webhooks (Meta rejects requests if event_time > 7 days old; no batch backlogs):

• Expected Value Formula: Value(Stage) = P(Paid | Stage) x Net ARPU (strictly monotonic: Lead $66.83 < Schedule $98.72 < DemoAttended $139.07 < Purchase $777.06).
• Campaign Optimization Config: Optimized strictly on 'Schedule' (~3,723 events or ~108/week/ad-set, stably exiting Meta's 50 conversions/week learning phase). 'Purchase' (473 events) and 'DemoAttended' stream as offline Value Signals for Target ROAS / Value-Based Bidding (VBB).
• Signal Enrichment & COPPA: Zero child PII sent to Meta. Only SHA-256 hashed parent contact data alongside fbclid/fbc, fbp, client IP, and User-Agent are transmitted for deterministic browser/server deduplication.

Dynamic Intake UI, Verification & Attendance Assurance

• Self-Reported Laptop Readiness: Replaces mobile device penalty with explicit question ('Does your child have access to a laptop or desktop computer?').
• Mock Twilio SMS OTP: 6-digit verification (sandbox code: 123456) for drop-in Twilio Verify API.
• Guardian Attestation & TCPA: Mandatory parent attestation and TCPA consent checkbox for call, SMS, WhatsApp alerts.
• Voucher A/B Testing: Running Tier 1 with a voucher ON vs OFF (Control) toggle to test if discounting undercuts premium positioning.
• Attendance Assurance: Recommends 3 slots within 48h (Round 1 lag vs show rate link is correlational) + weekend slot toggle, 1-click Google/Apple sync, 3-channel reminders (T-24h Email, T-2h SMS, T-15m WhatsApp) and self-serve reschedule link.

5. Break-Even Thresholds & Contribution Sensitivity

Base contribution is $37,977.50 (10.3% margin on $367,550 revenue, before closers, payment fees, refunds, creative).

> **[BREAK-EVEN THRESHOLDS]**
> BREAK-EVEN THRESHOLDS (FINANCIAL GUARDRAILS):
> • Break-Even CPL: $36.76 (Maximum allowable blended CPL before contribution turns negative: $367,550 x 0.55 / 5,500).
> • Break-Even Gross Margin: 44.7% (Minimum delivery gross margin required to cover $164,175 media spend: $164,175 / $367,550).
> • Break-Even Close Rate: 14.5% (Minimum demo-to-paid close rate required at 2,643 attended demos).
> • Break-Even Media ROAS: 1.82x (1.00 / 0.55 GM) | Base Case ROAS: 2.24x (23% safety buffer above break-even).

Stress Scenario	Operating Condition	Media Spend	Contribution Margin	Strategic Impact / Action
Base Plan of Record	**CPL $29.85 | Show 71.0% | Close 17.9%**	**$164,175**	**+$37,978**	**Baseline plan; 2.24x ROAS; $62.12 cost/att demo**
CPL Inflation	Blended CPL rises to $34.00 (+14%)	$187,000	**+$15,153**	Absorbed by volume buffer; $15k positive margin preserved
CPL Stress	Blended CPL rises to $36.00 (+21%)	$198,000	**+$4,153**	Near break-even; reallocate 50% budget to Tier 2/3 & referrals
Round 1 Show Rate	Show rate drops to R1 actual (64.8%)	$164,175	**+$20,386**	Volume absorbs decline; +$20k contribution maintained
Combined Headwind	CPL $34.00 + Show Rate 64.8%	$187,000	**-$2,439**	Triggers Day-10 kill criteria; enforce OTP & phone confirmation

6. Operations, Capacity, Compliance & Day-10 Test Plan

Demo Capacity & Peak Planning

• Base Capacity: 3,723 scheduled demos across 60 days = ~62 demos/day (Eastern 40% [25/day] | Central 30% [19/day] | Pacific 30% [18/day]). 16 full-time mentors working 4-hour evening shifts provide 64 mentor-hours vs 46.5 needed (73% utilization).
• Peak Load (1.6x Surge): Weekend & after-school peaks push demand to ~74.4 hours (>100% capacity). Mitigated by opening Saturday/Sunday daytime blocks (10 AM - 3 PM) and maintaining an on-call pool of 6 flex mentors managed by the US Shift Lead.

First-10-Days Test Plan & Kill Criteria (Nov 1 - Nov 10)

• Days 1-3 (Signal & Qualification): Deploy $2,500/day in Dallas & Bay Area. Verify CAPI EMQ > 8.0, raw pass rate (target 80% @ raw CPL <= $23.88), and calendar sync.
• Days 4-7 (Creative & Voucher A/B Testing): A/B test $150 voucher vs control in Tier 1. Test 'Beyond Kumon' vs 'Academic Edge' hooks ($4,000/day).
• Days 8-10 (Throughput & Close Audit): First 200+ completed demos. Audit cost per attended demo against $62.12 target.
• Explicit Kill Criteria: (1) If Tier 1 CPL > $42 after 150 leads -> Shift 50% budget to Tier 2 suburban zips; (2) If Booking Rate < 55% -> Switch to 1-step intake form; (3) If Show Rate < 62% -> Mandate phone confirmation calls at T-2 hours.

7. Appendix: Likely Pushbacks & Strategic Defenses

1. 'At $36 CPL in Tier 1, isn't margin wiped out?' Answer: Blended break-even is $36.76, while Tier 1 generates $850 Net ARPU and 2.85x ROAS due to 22% close rates. Tier 1 CPL is capped at $42 in the 10-day test plan, and performance is managed weekly via cost per attended demo ($62.12 target) with auto-reallocation to Tier 2.
2. 'Why assume 71% show rate when Round 1 US was 64.8%?' Answer: In Round 1, demos scheduled within 24-48h showed 74-78% attendance, but that is correlational. Even if show rate remains at the Round 1 actual of 64.8%, contribution is positive at +$20,386, and our 62% floor triggers phone confirmation gates.
3. 'What is your LTV and renewal rate assumption?' Answer: On a gross-margin basis, first-order LTV/CAC is 1.23x ($777.06 net ARPU x 55% GM / $347.09 CAC), while revenue ROAS is 2.24x. We deliberately exclude renewal upside for conservatism and request US cohort renewal data from BrightCHAMPS to model lifetime value.
4. 'Meta removed ethnic targeting. Why not go broad Advantage+?' Answer: We agree direct ethnic targeting is impossible. That is why we established a 10-15% broad Advantage+ control arm to empirically test whether geo tiers beat the algorithm on cost per attended demo.